

Commercial Performance & Receivables

Northline Commerce | FY2025 management review

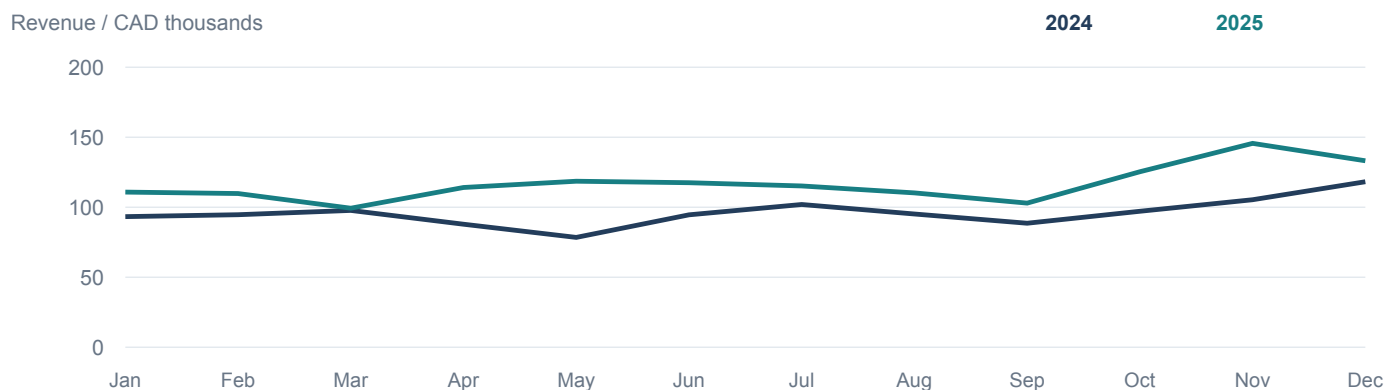
CAD / Year ended 31 December 2025 / Prepared by Trimanjeev Sawhney

Executive assessment

Revenue increased **21.7% to \$1.40m**, while gross profit rose 16.9% to \$589,035. Gross margin declined **1.70 percentage points** to 42.0%. The priority is to preserve growth while addressing marketplace pricing pressure and wholesale collection exposure.

Annual performance	2024	2025
Revenue	\$1,152,623	\$1,402,311
Gross profit	\$503,696	\$589,035
Gross margin	43.7%	42.0%
Invoices	708	872

Monthly revenue



Channel performance | FY2025

Channel	Revenue	Growth	Gross margin	Margin change (pp)
Wholesale	\$994,837	17.8%	40.9%	-1.45
Direct	\$266,049	63.1%	48.1%	-1.02
Marketplace	\$141,424	-2.7%	38.4%	-7.16

Direct: revenue grew 63.1%, adding \$47,883 of gross profit. **Wholesale:** generated 70.9% of revenue and all overdue receivables. **Marketplace:** revenue fell 2.7%; gross margin compressed 7.16 percentage points.

Independent portfolio case using reproducible fictional records for 24 account groupings, 12 products and three channels. No actual employer or customer data. Revenue is pre-tax merchandise sales after simulated pricing and discounts. Gross profit excludes fulfillment, marketplace fees and overhead; it is not net profit. Figures may differ slightly due to display rounding.

Margin and contribution drivers

Growth added gross profit; higher unit costs diluted the gain

Gross-profit bridge 2024 to 2025		Impact / CAD
2024 gross profit		\$503,696
Volume and product mix		+\$100,099
Average realized selling price		+\$20,267
Average unit cost		(\$35,028)
2025 gross profit		\$589,035

The bridge explains the \$85,338 increase in gross profit. Higher quantities and changes in the product mix contributed \$100,099, while realized price movements added \$20,267. Higher unit costs offset \$35,028 of these gains. The bridge explains profit dollars; it is not a decomposition of the margin percentage.

Products with the largest revenue contribution

Product	Revenue	Share of sales	Gross margin
Utility Cart	\$288,180	20.6%	38.0%
Entryway Rack	\$219,038	15.6%	39.5%
Weekend Bag	\$206,006	14.7%	43.2%
Travel Tote	\$107,954	7.7%	46.6%

Utility Cart and Entryway Rack represented 36.2% of sales, with margins below the company average. Review their supplier costs, realized discounts and delivery economics before increasing promotional exposure. Revenue concentration alone does not establish which products should be reduced.

Largest wholesale customer contributions

Trade customer	Revenue	Gross profit	Share of total sales
Cedarstone Retail	\$118,723	\$48,744	8.5%
Foxglade Supply	\$99,624	\$40,545	7.1%
Birchwater Trading	\$91,663	\$37,036	6.5%

These three trade customers generated 22.1% of total sales. Compare account margin with payment performance when reviewing commercial terms. Direct and Marketplace customer records are aggregate account groupings, so their contribution should not be interpreted as individual shopper concentration.

Recommended commercial actions

Review marketplace price realization. The marketplace bridge shows \$10,719 of adverse price impact and \$3,753 of adverse unit-cost impact. Set product-level price floors after adding marketplace fees and fulfillment costs, which this dataset does not contain. Evaluate Direct growth using the same fully loaded economics before reallocating spending.

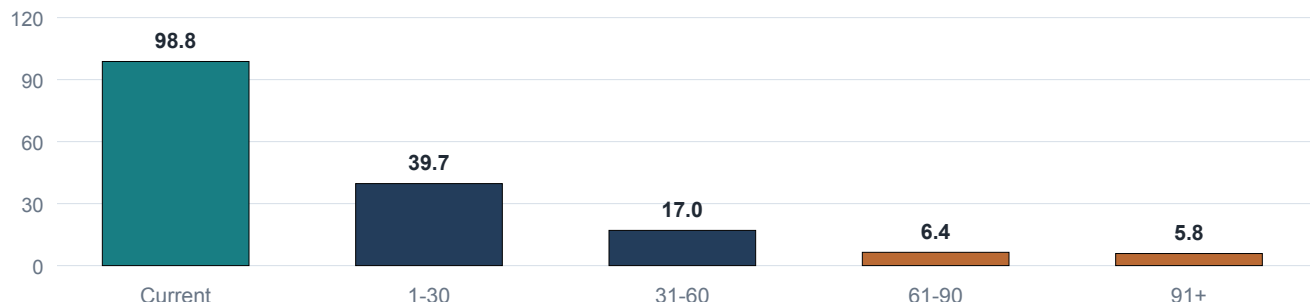
Bridge method: calculate each channel/product combination using annual weighted-average unit price and cost. Volume/mix = quantity change x prior unit gross profit; price = current quantity x price change; cost = minus current quantity x unit-cost change. Sum across all combinations. Price averages include discount mix; these accounting effects do not prove causal demand responses.

Receivables and collection priorities

Fixed snapshot | 31 December 2025

Open receivables totaled **\$167,744 across 64 invoices**. Of this, **\$68,979 (41.1%)** was overdue and \$5,837 was more than 90 days past due. Wholesale accounted for 98.8% of the open balance; consumer-channel balances were current.

Open balance / CAD thousands



Collection queue | ranked by overdue amount

Trade customer	Overdue / CAD	91+ days / CAD	Oldest overdue (days)
Elmbridge Stores	\$13,600	\$5,507	120
Birchwater Trading	\$13,540	\$330	91
Cedarstone Retail	\$12,692	\$0	27
Ivydale Traders	\$10,066	\$0	71
Hearthwell Retail	\$5,813	\$0	49

The first three accounts represent **57.7%** of overdue balances. Start with Elmbridge Stores and Birchwater Trading to verify the oldest invoices, resolve any disputes and agree payment dates. Cedarstone Retail has material recent arrears; request a payment commitment before those balances age further. Record promised dates and review follow-through weekly. These are proposed actions, not achieved collections.

Measurement and controls

Receivables: invoice value less payments dated on or before 31 December 2025. Aggregate payments by invoice before joining invoice records; never repeat invoice balances across sales lines. Current includes invoices due on the snapshot date. Aging then uses 1-30, 31-60, 61-90 and 91+ days past due. Rankings use overdue balance, then oldest overdue age and customer ID. Wholesale terms are 30 days; other channels have seven-day terms in the case.

Data preparation: SQL normalizes keys and channel labels, validates required fields, and quarantines invalid or duplicate records with explicit reasons. The accepted dataset contains 1,580 invoices, 3,936 sales lines and 1,621 payments. Nine deliberately introduced source exceptions are quarantined. All 13 pipeline controls pass, including invoice-to-line totals, balance reconciliation and eight aging/payment boundary cases.

Scope and reproducibility

Source: supplied synthetic CSV records, reproducible generator (seed 42175), SQL scripts and exported reporting tables. The ledger begins in January 2024 without opening balances. Returns, credit notes, taxes, foreign exchange, write-offs and bad-debt provisions are excluded. Later-dated payments are intentionally omitted from this snapshot. The dataset includes eight small invoices designed to test aging boundaries. This static report must be regenerated after changing inputs.

The SQL analysis and report are validated separately from the supplied Power BI project. Power BI Desktop opening, refresh and visual interaction still require verification on Windows. This document is an analytical report, not an export from Power BI.